Three interlinked issues are essential in determining how India will manage China over the medium- and long-term outlook. One is polarity and whether the return of a bipolar world system, with China and the United States as the two superpowers, will compel India to further increase its domestic balancing efforts vis-à-vis China or enter into alliance with the United States. Alternatively, will India's own economic rise over the next 10–20 years be sufficient to change the balance of power in the region one more time, from a bipolar US–China structure to a multipolar system that includes India as one of the poles? The second issue is the potential rise of ideology and nationalism as dividing lines. Third is whether the forces of globalisation and economic interdependence are strong enough to modify or prevent conflict under the growing weight of great power rivalry, or if the international economy will be more fragmented and shaped along the lines of great power rivalry.

When two superpowers engage in balancing each other, secondary powers will experience difficulty in maintaining strategic ambiguity.[10] In such a system, will India be compelled to enter into an alliance with the United States? States are more likely to balance strong neighbours if they are confident that allied assistance will be available,[11] and in recent years, India and the United States have moved closer towards alignment. However, external balancing entails the risks of entrapment and abandonment.

Alliance abandonment and entrapment usually refers to risks encountered after entering into an alliance, but these risks also influence the decision about alliance formation. Entrapment means being dragged into a conflict over an ally's interests that one does not share, and this dilemma occurs when one values the preservation of the alliance more than the cost of fighting for the ally's interests. Thus, the greater one's dependence on the alliance and the